

TABLE 3-3 Data Relating to Standard & Poor's Composite Index in Various Years

	Year ^a	1948	1953	1958	1963	1968	1971
Closing price		1520	2481	5521	7502	103.9	100 ^b
Earnings in current year		2.24	2.51	2.89	4.02	5.76	5.23
Average earnings of last 3 years		1.65	2.44	2.22	3.63	5.37	5.53
Dividend in current year		.93	1.48	1.75	2.28	2.99	3.10
High-grade bond interest ^c		2.77%	3.08%	4.12%	4.36%	6.51%	7.57%
Wholesale-price index		87.9	92.7	100.4	105.0	108.7	114.3
Ratios							
Price/last year's earnings		6.3 X	9.9 X	18.4 X	18.6 X	18.0 X	19.2 X
Price/3 years' earnings		9.2 X	10.2 X	17.6 X	20.7 X	19.5 X	18.1 X
3 years' earnings yield ^d		10.9 %	9.8 %	5.8 %	4.8 %	5.15%	5.53%
Dividend yield		5.6 %	5.5 %	3.3 %	3.04%	2.87%	3.11%
Stock-earnings yield/bond yield		3.96X	3.20X	1.41 X	1.10X	.80X	.72X
Dividend yield/bond yield		2.1 X	1.8 X	.80X	.70X	.44X	.41X
Earnings/book value ^e		11.2 %	11.8 %	12.8 %	10.5 %	11.5 %	11.5 %

^a Yield on 5 & P AAA bonds.

^b Calendar years in 1948-1968, plus year ended June 1971.

^c "Earnings yield" means the earnings divided by the price, in %.

^d Price in Oct. 1971, equivalent to 900 for the DJIA.

^e Three-year average figures.

Our final judgment is that the adverse change in the bond-yield/stock-yield ratio fully offsets the better price/earnings ratio for late 1971, based on the 3-year earnings figures. Hence our view of the early 1972 market level would tend to be the same as it was some 7 years ago—i.e., that it is an unattractive one from the standpoint of conservative investment. (This would apply to most of the 1971 price range of the DJIA: between, say, 800 and 950.)

In terms of historical market swings the 1971 picture would still appear to be one of irregular recovery from the bad setback suffered in 1969-1970. In the past such recoveries have ushered in a new stage of the recurrent and persistent bull market that began in 1949. (This was the expectation of Wall Street generally during 1971.) After the terrible experience suffered by the public buyers of low-grade common-stock offerings in the 1968-1970 cycle, it is too early (in 1971) for another twirl of the new-issue merry-go-round. Hence that dependable sign of imminent danger in the market is